

Fearnleys Dry Bulk Weekly

Oct 16, 2024

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Capesize/Newcastlemax

Last week, we wrote the following:

October is usually a weak month, and it seems this year will be no exception.

The market development could be recoupling with China's imported iron ore consumption change, after having "outperformed" it since late August (bottom right chart). This indicator suggests a bottom around the end of this month.

No change to last week's outlook. Weakness prevailing across the board.

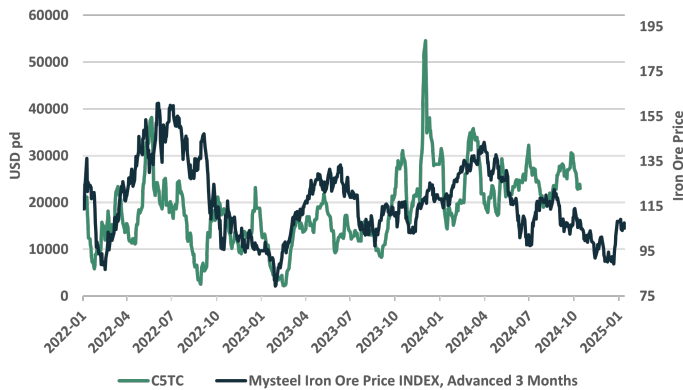
Capesize / Newcastlemax Heading to Brazil



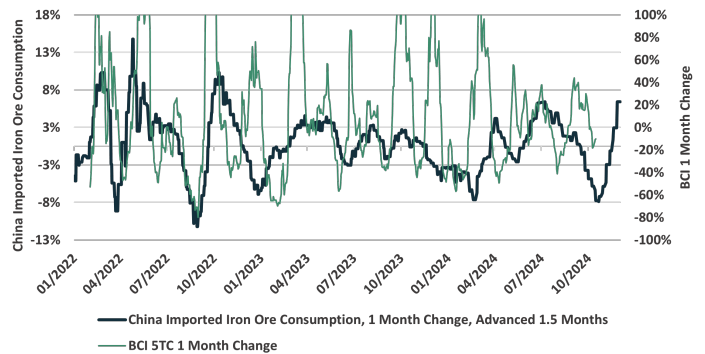
OECD Economic Indicator - China vs Capesize 1 Year TC YoY Change



Iron Ore Price Lead vs BCI5TC



China Imported Iron Ore Consumption Lead vs BCI5TC



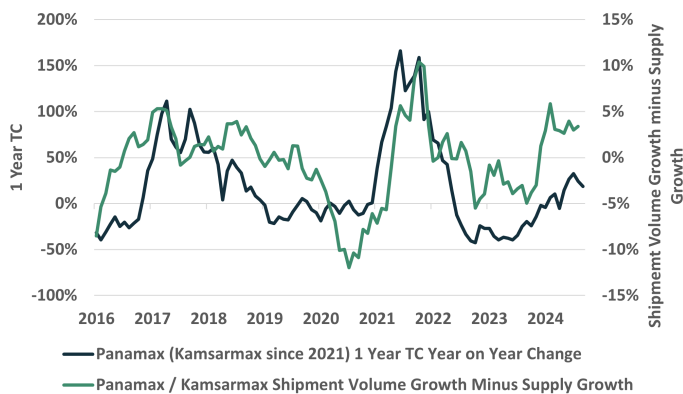
Panamax/Kamsarmax

A couple of months ago, we listed a few seasonal factors that could result in a September/October rally. However, all these factors are weaker than usual.

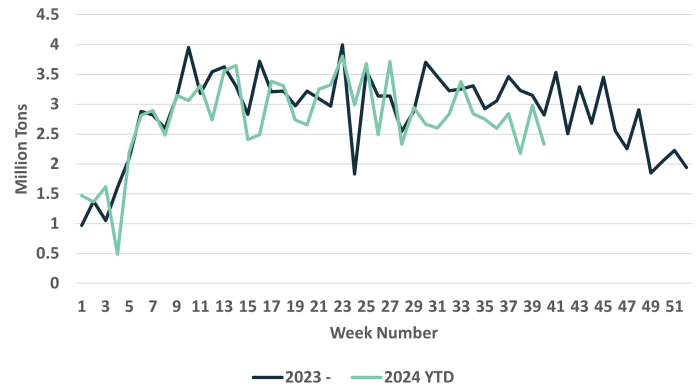
- India coal imports: Longer monsoon than usual, sudden weakening of macroeconomic conditions, including steel demand.
- US grain exports: Volumes are higher than last year, but more than usual have been shipped on the West Coast compared to the Gulf.
- Brazilian Corn exports: Lower than forecasted by the IGC and USDA, also lower than last year.
- Macro: Sudden worsening of European and US manufacturing.

A seasonal increase in coal winter demand is the main factor we see now that could cause a rebound.

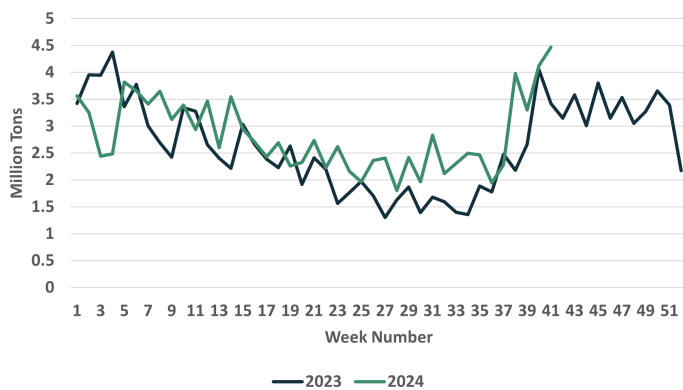
Panamax / Kamsarmax Shipment Volume Growth minus Supply Growth vs 1 Year TC YoY



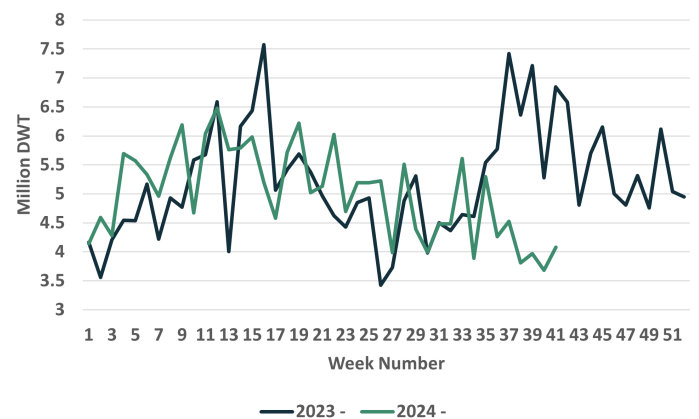
Panamax / Kamsarmax Brazil Grain Exports - 2024 vs 2023



USA Grains Exports, 2023 vs 2024 YTD



India Coal Imports, 2023 vs 2024 YTD



Supramax/Ultramax

Last week, we wrote the following:

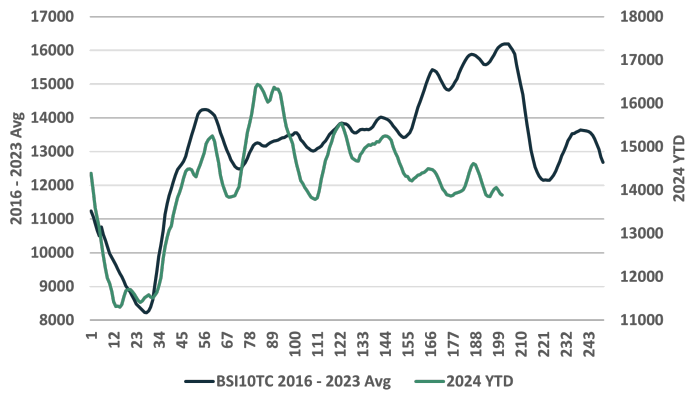
The headline market fundamentals remain firmly positive, and the market is higher than in the same period last year, but only just so.

- The weaknesses in the Panamax / Kamsarmax segment are suppressing this segment.
- The prices of industrial metals are not suggesting imminent improvement (nor imminent weakening).
- Direction-wise, seasonality has been followed closely all year, although levels have been lower than what was suggested in the last two months. Seasonality suggests this week and the next could be an uptrend, before another downturn until mid/late November.

Most likely the market will continue trending sideways to slightly downwards through the remainder of this year. A seasonal increase in coal demand could cause a bounce before year-end.



Supramax Seasonal Market Movement



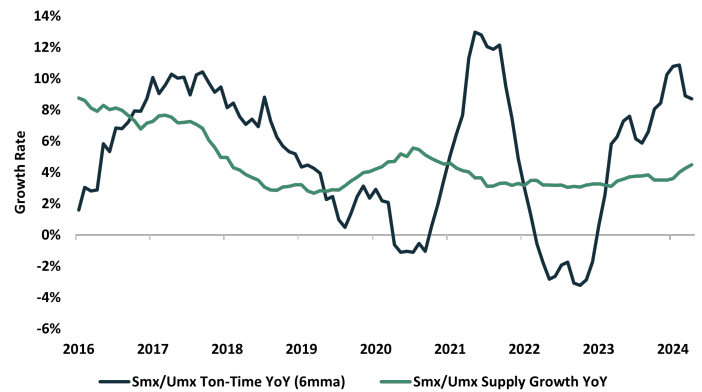
Supramax 1 Year TC YoY



Supramax Spot YoY



Supramax / Ultramax Market Balance





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